

how much I withdraw from the ATM, the money disappears in a week or ten days.

Cash still hurts to pull out and use, but a card or a wallet is smooth. What is even more smooth is the credit card. This is money you don't have. You are borrowing to spend. And as long as you keep paying back before the last date, you are good, but if you begin to fall behind on payments, the possibility of getting into a debt trap are very real.

I was teaching a bunch of budding business journalists at the Asian College of Journalism in Chennai in 2017 and I asked what the cost of default on a credit card payment is. One person raised his hand and said it cost about 18 per cent. Do you know how much interest you pay if you don't pay your card bill on time? It can vary between 24 per cent and 36 per cent. Do you remember what your savings deposit gives you? 4 per cent. Your FD gives you a 6.5 per cent return, a debt fund about 8–9 per cent, and equity fund about 12–15 per cent (over the long term). This is the cost of borrowing on your credit card.

Most of us clean up our spending act by the time we get married and a kid comes along. For most people, the birth of a child is that sobering moment after which the relationship with money changes for good. But is there a way to be young and restless and yet not destroy your money box?

Yes, there is. Use the cash flow system I described earlier to start saving a bit of money. Don't wait for the time when you have money to save. You never will. Nobody ever has 'enough' money to start saving. Save a thousand bucks if you can, but make a start. The other thing to do is to begin making choices between need and greed. When you walk into the mall, the stuff on display, the smells, the lights, the sounds, the whole energy is screaming: spend, spend, spend.

You are too fat or thin, you are too dark or white, you are too tall or short, you are just not good enough till you have bought this stuff. Take a moment to think why you need something – do you need ten wristwatches? Is there space in the cupboard for that new dress? Or in the shoe rack.

I remember meeting this woman doctor in the US once. I was spending a semester at Yale, New Haven, and she was visiting. We got talking and the conversation veered to shopping. She said that she and her husband (there were